

ARS DATA BRIEF

The Battery Race: Can Pakistan Catch the EV Wave?

Policy, Market and Supply Chain Evidence for Chinese Investors

Reza Khan | Ardent Research Solutions (Pvt.) Ltd. | Data Brief | 28 August 2026

Reference: ARS-DB-2026-001

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Suggested citation: Khan, R. (2026). The Battery Race: Can Pakistan Catch the EV Wave? Ardent Research Solutions. www.arspakistan.pk

Summary

Pakistan is attempting to convert a rapidly growing demand for imported batteries and electric vehicles into a domestic manufacturing industry. The demand is real. Lithium ion storage imports reached 4.6 gigawatt hours in 2025, a 220% increase year on year. That single year accounted for nearly 60% of everything Pakistan has imported since 2018. Rooftop solar capacity has grown from under 2 gigawatts to roughly 38 gigawatts in three years, driving a corresponding increase in storage demand. On published tariffs, running an electric car costs about 83% less than running a petrol equivalent. A country importing this much energy hardware and facing such a large cost differential has an obvious reason to want the factories rather than the import shipments.

The industrial base to meet that ambition does not yet exist. Pakistan has no commercial cell manufacturing anywhere in the country. Its first dedicated lithium battery plant, at Korangi in Karachi, has an initial capacity of roughly 4 megawatts and an output of about 2,000 units a month for small vehicle batteries, which is a useful start but not an industry. Every other facility described publicly as battery manufacturing is in fact assembling imported cells into packs. The same pattern holds on the vehicle side, where Chinese brands are assembling imported kits with limited local value addition. This report distinguishes assembly from manufacturing, and by that distinction, essentially all current Pakistani activity falls on the assembly side.

The policy framework intended to close that gap is largely unfinished, and this is the finding with the greatest bearing on investment decisions. Of the nine policy instruments and incentive lines examined here, three are notified and enforceable, two rest on committee level agreement, and four exist only

in draft or promotional documents. The National Lithium Ion Battery Manufacturing Policy remains before cabinet for approval. The dedicated EV battery policy is still being drafted. The successor auto policy has reached agreement in principle but has not been notified. An investor building a financial model on the pitchbook figures is underwriting an instrument that does not yet exist.

Where Pakistan does have a notified policy, its implementation record is the most useful evidence available on execution risk. The New Energy Vehicle Policy was approved by cabinet in August 2025 and funded through a levy of Rs. 2.5 per litre on petrol and diesel, enacted by statute rather than left to annual budget negotiation. The subsidy programme beneath it targeted 41,000 vehicles in its first phase and delivered 5,409 vehicles, or 13%, before being redesigned. The bottleneck was neither demand nor manufacturing capacity but the requirement that buyers pay in full and claim reimbursement afterwards. The government reversed that payment flow within roughly nine months. Both halves of this episode matter: the shortfall establishes that headline targets should be discounted substantially, and the correction establishes that the review machinery functions.

Chinese engagement is real but concentrated at the assembly end and thinner than the announcements suggest. The one funded, financially closed project is a completely knocked down vehicle assembly plant at Gharo in Sindh, costing approximately USD 150 million for 25,000 units a year, owned equally by Hub Power Holdings and Mega Conglomerate, with BYD supplying technology and branding under licence rather than taking equity. Chery has locally assembled models already on sale. On the battery side, Treet Battery has signed a memorandum with a company in which CATL holds a strategic investment, which is a commercial relationship but not a commitment to produce cells. Direct discussions between the Government of Pakistan and CATL itself remain at the negotiation stage with no disclosed figure, capacity or timetable.

The mineral case that officials advance to justify the choice of lithium iron phosphate chemistry is sound in its geology and unproven in its metallurgy. Iron is well documented at Kalabagh, Chiniot and across Balochistan, and phosphate has an established mining base in Hazara and Abbottabad. Neither has been demonstrated at the purity battery cathode production requires, and the existing phosphate industry was built for fertiliser rather than cells. Lithium remains at exploration stage in Gilgit Baltistan and Azad

Jammu and Kashmir with no proven commercial supply. Pakistan has the ore but it has not yet shown it can produce the material.

Set against Bangladesh and Vietnam, which compete for the same Chinese capital, Pakistan offers the largest underpenetrated market and the least legal certainty. Vietnam has an established manufacturing base and a corporate tax framework rewritten in 2025, though the global minimum tax erodes much of that advantage for groups of the size of CATL and BYD. Bangladesh has tied its duty concessions explicitly to local value addition and attached a 2028 sunset to battery component relief, which is a more disciplined design than Pakistan has produced, but it sits on a market of only 669 registered electric vehicles. Pakistan is the least contested of the three.

The practical conclusion is that the investable opportunities in Pakistan today are not cell manufacturing but the layers beneath it: pack and module assembly, battery management systems, thermal systems, testing and certification, recycling, charging infrastructure, and battery grade processing of the iron and phosphate base. Investment should be phased in line with policies that have been formally notified/gazetted, rather than based on announced intentions, with renegotiation triggers incorporated into agreements signed before pending policy instruments are formally gazetted. Where a choice exists between an incentive delivered through tariff relief and one delivered through government disbursement, the tariff route is worth more even at a lower headline value, because it operates automatically at the border while the disbursement route depends on the administrative chain that delivered 13% of its first phase target.

This report is organised in six sections. Section 1 examines the policy instruments individually and establishes which of them are legally binding. Section 2 examines the market data on sales, pricing, running costs and charging infrastructure. Section 3 examines the supply chain and the mineral base. Section 4 is a tracker of named Chinese engagements ordered by how firm each one is. Section 5 compares Pakistan with Bangladesh and Vietnam. Section 6 identifies the developments that will resolve the questions left unanswered. A note on sources and on the evidentiary standard applied throughout appears at the end.

1. The Policy Architecture

1.1 The Instruments That Actually Exist, and Which Ones Bind

Discussion of Pakistani electric vehicle policy tends to focus almost entirely on the National Lithium Ion Battery Manufacturing Policy, which remains unfinished, while overlooking the fact that Pakistan already has a notified electric vehicle policy that has been in force for a year. The New Energy Vehicle Policy 2025 to 2030 was approved by the federal cabinet on 26 August 2025. It is not a draft, not a consultation document and not a pitchbook. It is government policy with a legal funding mechanism attached, and anyone assessing Pakistan's seriousness about vehicle electrification should begin here rather than with the battery policy that has attracted more commentary.

The policy sets a headline target of 30% of new vehicle sales being electric by 2030, rising to 50% by 2040 in the version approved by cabinet. Earlier drafts of the framework proposed a more aggressive 90% adoption by 2040. That downward revision between draft and approval is itself a small but instructive illustration of a point this report returns to repeatedly: targets circulating during consultation are routinely softened before they become policy.

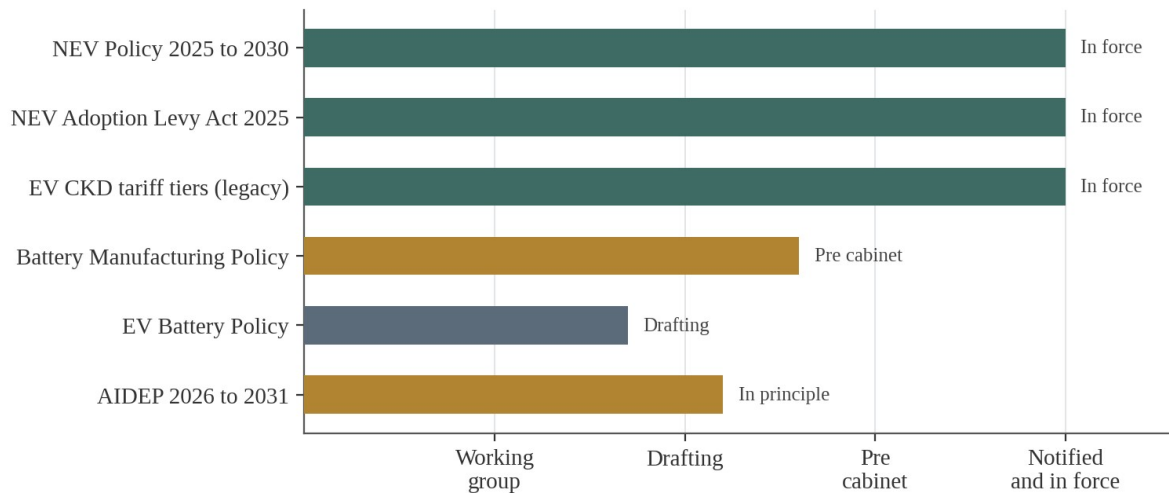
The instrument was developed over roughly a year of work involving more than sixty experts and institutions under a steering committee within the Ministry of Industries and Production established in September 2024, and it carries a governance structure that is unusually specific by the standards of Pakistani industrial policy, with monthly and quarterly review meetings conducted by the steering committee and a biannual performance audit by the Auditor General of Pakistan.

What makes this policy genuinely different from the aspirational documents that surround it is that its money is real and legally sourced. The Pakistan Accelerated Vehicle Electrification programme, universally abbreviated PAVE, is funded through the New Energy Vehicle Adoption Levy Act 2025, which imposes a climate support levy of Rs. 2.5 per litre on petrol and diesel sold nationally. This is a revenue neutral design of a kind that development economists generally approve of, taxing the externality that policy is trying to reduce and recycling the proceeds into the substitute. It also means the subsidy programme does not compete against health, education or defence for a discretionary budget allocation each year, which in the Pakistani fiscal

context is a considerable structural advantage and makes the funding stream far more durable than a line item in the budget that has to be defended annually.

The subsidy schedule underneath the policy is specific enough to be tested. Electric two wheelers receive up to Rs. 65,000, electric three wheelers up to Rs. 400,000, and four wheelers Rs. 15,000 per kilowatt hour of battery capacity, alongside free registration for eligible vehicles. The initial allocation was Rs. 9 billion for the financial year, covering a target of roughly 116,000 electric motorcycles and 3,170 rickshaws and loaders. The deliberate weighting toward two and three wheelers rather than passenger cars is the single most sensible feature of the entire framework, and it deserves more attention than it has received. Over 90% of parts for two and three wheelers are already manufactured locally in Pakistan, which means subsidy money spent in this segment flows into an existing domestic supply chain rather than leaking straight back out as imports, and it targets the vehicle categories that account for the largest share of daily urban trips and fuel consumption.

Set against this notified and funded instrument, the other five instruments governing the sector occupy materially weaker or different positions. The tariff structure for completely knocked down (CKD) vehicle assembly is notified and in force, but was inherited from an expired policy and now operates on extension. The National Lithium Ion Battery Manufacturing Policy stands at pre cabinet stage. The EV Battery Policy remains in drafting. The successor auto policy has secured consensus in principle at the steering committee level but has not passed through the Ministry of Industries or the federal cabinet. Figure 1 plots the six instruments against the distance each has actually travelled, and the resulting distribution warrants close attention before the remainder of this report is considered. Every instrument that would govern battery manufacturing specifically remains unfinished.

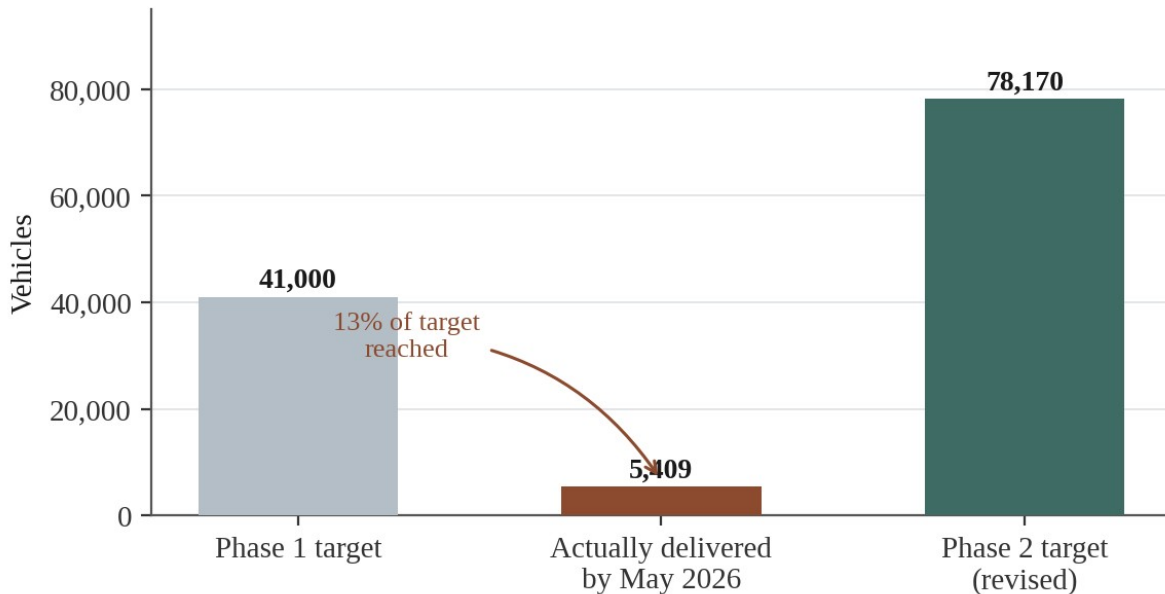
Figure 1. Legal status of the six instruments governing the sector

Only three of the six instruments governing this sector are currently enforceable, and none of the three governs battery manufacturing.

1.2 What PAVE Reveals About Execution Risk

The principal value of a notified policy with a year of implementation behind it lies in what no amount of analysis of draft documents can supply, namely direct evidence as to whether Pakistani institutions are capable of delivering what they announce. Measured against that standard, the record is not encouraging. It also constitutes the most significant single body of evidence in this report for an investor seeking to price execution risk, for the straightforward reason that it is the only track record available.

The first phase of PAVE targeted 41,000 vehicles. By the time the Economic Coordination Committee reviewed the programme in May 2026, 5,409 electric bikes and rickshaws had actually reached recipients. That represents roughly 13% of the stated target, despite the scheme being fully funded, politically prioritised, publicly launched with considerable fanfare and administered by an established body in the Engineering Development Board. Figure 2 shows the shortfall against the revised second phase target for context.

Figure 2. PAVE subsidy scheme: target against actual delivery

The gap between announcement and delivery is the most reliable single indicator of execution risk in this sector.

What makes this shortfall genuinely instructive rather than simply disappointing is the diagnosis. The bottleneck was neither citizen demand, which by all accounts substantially exceeded the available allocation, nor manufacturer capacity, since local two wheeler assemblers had ample ability to supply. It was bank approval. The original scheme design required buyers to pay the full purchase price upfront and then claim reimbursement of the subsidy afterwards, a structure that pushed the entire financing burden onto applicants who were, almost by definition, the low income buyers least able to bridge it and least likely to secure quick bank facilities. The programme failed at the point where policy design met financial constraints.

The government's response to that failure is, to its credit, an unusually direct fix rather than a rhetorical one. Phase two, approved by the Economic Coordination Committee in May 2026 with a Rs. 9 billion package, reverses the payment flow entirely. Buyers now pay the net price after subsidy deduction directly to the manufacturer, and the Engineering Development Board transfers the subsidy amount to the manufacturer through the State Bank of Pakistan once delivery and registration are verified. The allocation mechanism has also shifted from a computerised lucky draw to first come, first served, removing a layer of delay and opacity. A revised self financing scheme for federal employees in grade 16 and below requires a down

payment of only Rs. 10,000 for a bike. The revised phase two target has been set at 78,170 vehicles.

For a Chinese investor, three separate lessons follow from this episode, and they generalise well beyond the two wheeler segment. The first is that Pakistani policy design has a demonstrated tendency to place financing friction on the party least equipped to absorb it, which is a risk worth checking explicitly for a project with an incentive scheme. The second, more encouraging, is that the system corrected itself within roughly nine months once the failure became visible, which is faster than many comparable jurisdictions manage and suggests the review architecture built into the policy is functioning rather than decorative. The third is that headline targets in Pakistani industrial policy should be discounted by a substantial and empirically grounded factor rather than taken at face value. If a fully funded, politically prioritised subsidy scheme delivered 13% of its first phase target, then the 3,000 charging station target discussed in section 2, and the localisation percentages discussed in section 1.6, deserve to be read through the same lens.

1.3 The National Lithium Ion Battery Manufacturing Policy

The battery policy has a precisely datable origin, which is unusual enough in Pakistani policymaking to be worth noting on its own. A dedicated working group was constituted on 12 December 2025. Within weeks, a high level meeting chaired by Haroon Akhtar Khan, the Special Assistant to the Prime Minister on Industries and Production, had approved lithium iron phosphate as the chemistry to be prioritised for first phase localisation. By April 2026 the policy had been forwarded to the Ministry of Industries and Production and was awaiting consideration by the National Tariff Board, after which it would go to the Prime Minister and then to cabinet. As of the date of this report it had not completed that journey.

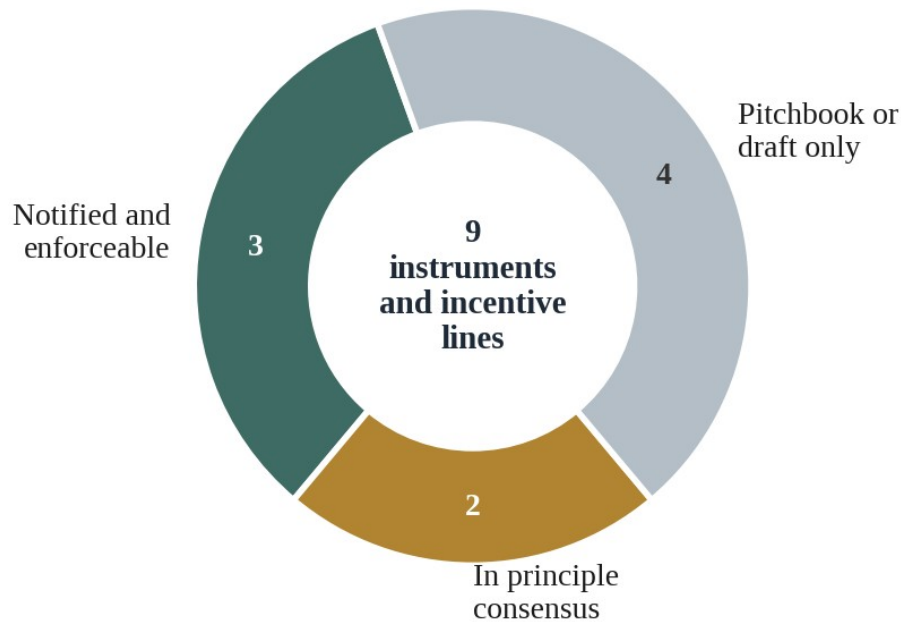
The chemistry decision merits greater recognition than it has generally received, because it is the clearest part of the framework to reflect strategic reasoning rather than aspiration. Lithium iron phosphate cells are cheaper than the nickel manganese cobalt cells that dominate premium vehicles and are considerably more thermally stable, which matters in a country with Pakistan's ambient temperatures and its uneven record on industrial safety enforcement. The chemistry is also better suited to the stationary storage applications that Pakistan's solar boom has generated. Most importantly, the two elements that give the chemistry its name are the two raw materials

Pakistan can most plausibly claim a domestic base in. The selection of a chemistry matched to domestic geology, rather than to the global premium standard, is precisely the decision a country in Pakistan's position ought to be taking, and it compares favourably with jurisdictions that have pursued the highest specification chemistry without any corresponding raw material logic.

Around that chemistry decision, the policy is built on three stated pillars: phased localisation, tariff rationalisation and performance linked incentives. The localisation roadmap that has circulated alongside it targets 70% domestic value addition in an initial implementation phase, rising to 80% thereafter. These figures appear consistently across reporting, and they are the numbers most frequently quoted back as though they were policy. They are not. They are targets described in an investment pitchbook and in ministerial briefings. Until the instrument clears the National Tariff Board and the cabinet, it remains an intention rather than an obligation a manufacturer can be held to or a concession a manufacturer can rely on.

There is a further structural complication that most coverage misses entirely. The battery policy is not a single document awaiting one signature. It is an umbrella containing at least three work streams running on separate clocks. The localisation and tariff framework itself moved fastest. The Pakistan Standards and Quality Control Authority testing, certification and recycling regime, which the policy assigns as a precondition, was still being developed as of mid August 2026. The broader Next Generation Energy Storage Policy that is meant to sit above both was, in the same reporting, described as still being finalised. An investor evaluating a battery project in Pakistan today is evaluating something whose eventual tariff treatment depends on how and when three separate tracks converge, and no public document specifies which takes precedence where they conflict.

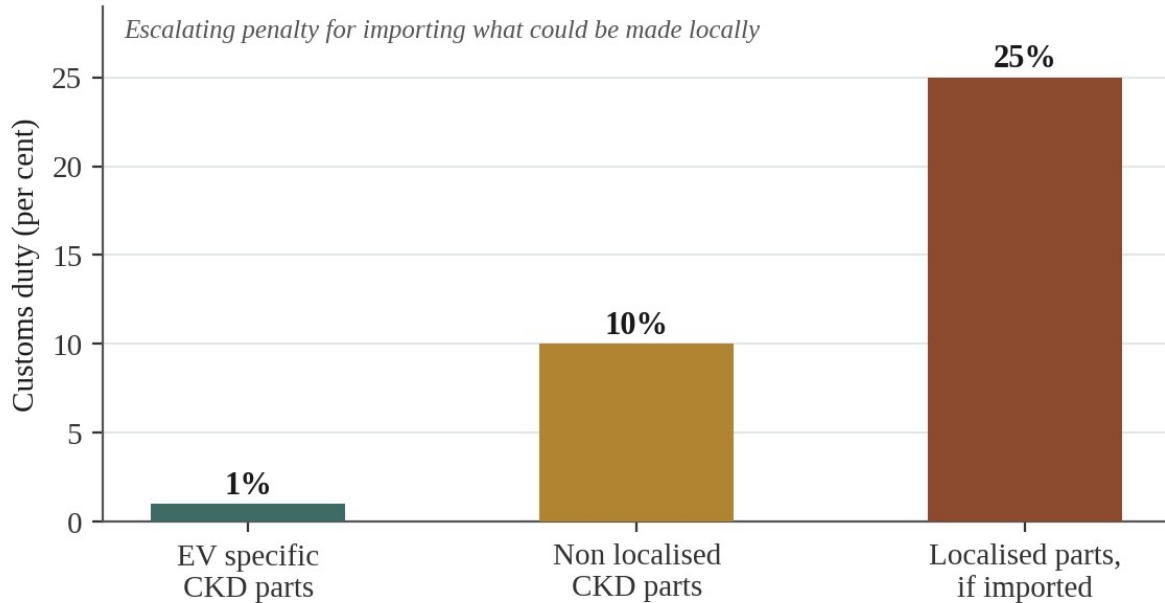
Figure 4 summarises the practical consequence across the nine policy instruments and incentive lines this report has examined. Three are notified and enforceable. Two rest on consensus in principle. Four exist only in pitchbook or draft form. That ratio, rather than any individual headline target, is the honest summary of what an investor can currently build a financial model around.

Figure 4. What an investor can actually rely on today

Four of the nine incentive instruments an investor might reasonably expect to rely on exist only in draft or promotional form.

1.4 The Tariff Schedule

Separating the enforceable from the announced matters most acutely on tariffs, because tariffs are where an industrial project's economics are actually decided. On the vehicle side, Pakistan already has a functioning notified structure, inherited from the expired auto policy and currently running on extension to June 2027. Components specific to electric vehicles imported for completely knocked down assembly carry a duty of 1%. Non localised completely knocked down parts, meaning components a manufacturer imports where a domestic supplier exists, carry 10% duty. Parts that have been localised within an approved framework carry 25% duty if imported rather than sourced domestically.

Figure 3. Notified CKD tariff structure, in force to June 2027

The inverted structure is deliberate: the more a component could have been made locally, the more expensive importing it becomes.

That inversion is the most sophisticated feature of the existing framework and warrants precise understanding. Under a conventional tariff structure a manufacturer pays progressively less duty as the imported item becomes more processed, which rewards the importation of finished goods. Under the Pakistani structure, the penalty rises once a part is added to the list of localised components, so that a manufacturer continuing to import an item domestic suppliers have begun producing incurs an escalating cost. The schedule of localised parts is updated through periodic revision of the relevant statutory regulatory order (SRO), with the effect that the penalty perimeter expands as domestic capability develops. This represents a genuine industrial policy framework rather than protectionism framed as strategy, with the force of formally notified law rather than merely stated policy intent.

On the battery side specifically, none of the equivalent figures has that status. A 0% duty on imported cells through 2028, a 20% federal excise duty on imported completely built battery units, a 1% sales tax for local battery manufacturers and accelerated depreciation reported as high as 90% all appear in official investment promotion material and ministerial briefings. They describe where the government wants to end up. None can currently be relied upon as an enforceable right, and a project whose financial model assumes a 0% cell import duty that has not been gazetted is carrying a

policy risk quite separate from the ordinary commercial risk of operating in Pakistan.

One narrow concession does have notified status and is worth flagging precisely because of what its survival reveals about government preference. When the previous auto policy expired at the end of June 2026 without a successor in place, the government extended, rather than allowed to lapse, a 1% sales tax concession specifically for locally assembled electric vehicles with battery capacity up to 50 kilowatt hours, and light commercial electric vehicles up to 150 kilowatt hours, through June 2027. Incentives for hybrid vehicles were not similarly preserved. Sales tax on locally assembled hybrid and plug in hybrid vehicles above 1,400cc rose to 25%, replacing a concessional rate of 8.5%. Pure electric vehicles below a defined battery threshold retained favourable treatment while larger hybrids lost theirs. That divergence identifies the government's revealed preference with considerably more reliability than any pitchbook statement.

There is a further tariff development that cuts against the localisation narrative and deserves mention because it has generated real industry anger. A broader tariff rationalisation took effect at almost exactly the moment the old auto policy expired, and industry figures have argued publicly that the resulting structure is import biased in a way that rewards trading activity over domestic value addition. One senior industry finance executive put the criticism directly, noting that at a moment when Pakistan urgently needs industrialisation, foreign investment, exports and productive employment, a tariff structure tilted toward imports risks rewarding precisely the opposite behaviour. Whether that criticism is fully fair is contestable, since tariff rationalisation has independent macroeconomic justifications tied to Pakistan's commitments under its external financing arrangements, but the timing has left manufacturers without a coherent roadmap at exactly the point when several were making long term capital commitments.

1.5 The EV Battery Policy

A separate instrument, generally called the EV Battery Policy, is being developed alongside the battery manufacturing policy, and the two are conflated in press coverage often enough that untangling them is worthwhile. What can be stated with confidence is that the government has repeatedly and publicly committed to finalising a dedicated policy covering electric vehicle batteries and adjacent energy storage, that officials at Special Assistant level have described this as an active priority tied explicitly

to the national energy security framework, and that lithium iron phosphate has been confirmed as the preferred choice across both vehicle and stationary storage applications. Officials have also stated an intention to formally follow up on memoranda already signed by Chinese firms, which signals that the government views these agreements as a pipeline to be converted rather than a public relations exercise.

What remains unresolved is everything that would allow a project to be priced. The detailed incentive schedule has not been published in final form. The rollout timeline exists only as an undertaking to finalise the policy soon, a formulation that in the recent history of Pakistani industrial policy has meant anywhere from months to several years. Most consequentially for anyone structuring a transaction today, no public document specifies how the EV Battery Policy will interlock with the National Lithium Ion Battery Manufacturing Policy, which of them takes precedence where they overlap, or how conflicts between them will be resolved. As of mid August 2026 the Ministry was still developing the underlying battery standards while the energy storage policy above it was still being finalised, confirming that this is a live process rather than a text awaiting signature.

The right response to this is not to avoid the sector but to structure around the uncertainty rather than assume it away. A joint venture agreement that fixes a specific tariff or tax rate as a contractual term, on the assumption that the eventual policy will simply mirror the current pitchbook, is exposed to a risk neither party controls. The more defensible structure stages the investment against policy milestones. An initial tranche can proceed on the basis of what is already notified, covering pack assembly, battery management system integration and testing infrastructure, none of which depend on the unfinished cell level schedule. Later tranches, particularly anything committing to cell manufacturing or upstream material processing, should be conditioned on formal gazetting and should carry a defined renegotiation mechanism if the notified terms diverge materially from what was described during negotiation.

It is worth being explicit about what would count as genuine confirmation, so that future developments can be measured against a fixed bar rather than another round of statements. Three things: a gazette notification of the finalised policy, publication of the Pakistan Standards and Quality Control Authority battery safety and certification standards in final form, and a published tariff schedule specific to cells, cathode materials, anode materials and finished packs that supersedes the pitchbook figures. Until all three have

occurred, this instrument should be classified as evidenced intent rather than commitment. That is not scepticism about Pakistan's seriousness. It is the same discipline any competent adviser would apply to a draft regulation in any jurisdiction, and Pakistan's automotive sector has a documented history of policy documents circulating in draft for years before notification, or lapsing entirely and being replaced by a differently structured successor.

There is one asymmetry in this uncertainty that favours an early mover, and it deserves to be acknowledged rather than being buried under caution. Because the incentive schedule is unfinished, it is also still open to influence. The broader policy process has explicitly involved industry consultation, with more than 60 stakeholders contributing to the parallel electric vehicle policy. A Chinese manufacturer with genuine capital at stake and a credible commitment to local value addition is in a materially better position to shape the final text than one arriving after gazettal, when the terms are fixed and the only remaining question is compliance. Investors who read regulatory uncertainty exclusively as risk sometimes miss that in a jurisdiction actively drafting, uncertainty is also access and an opportunity.

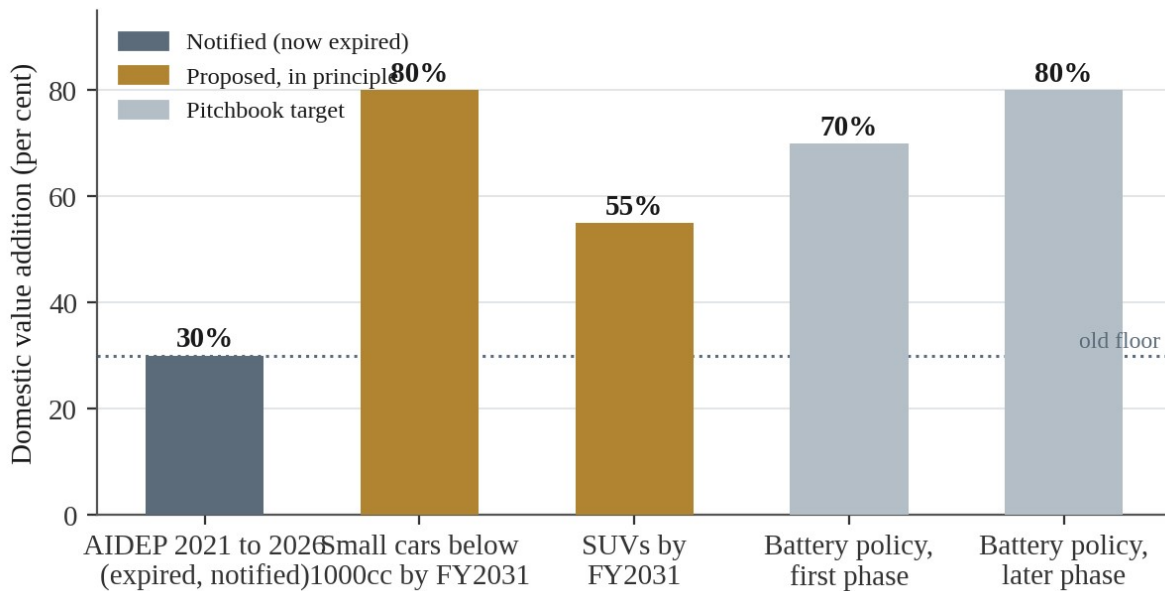
1.6 Local Content and the Successor Auto Policy

The Auto Industry Development and Export Policy 2021 to 2026 expired on 30 June 2026, leaving the sector without a governing framework while its successor remained under negotiation. Under the expired policy the local value addition requirement for components manufactured under the relevant concession scheme was fixed at 30%, with anything below that threshold simply ineligible for concessional treatment. It also set an aspiration of localising 100% of motorcycle parts and 75% of car parts by 2026, an aspiration substantially met in the two wheeler segment, where local content now exceeds 90%, but missed in passenger cars.

That 30% floor is the right anchor against which to read what is now proposed, because the successor represents escalation rather than adjustment. Under the draft framework, cars below 1000cc would be required to reach 80% domestic value addition by financial year 2031, while

sport utility vehicles would face 55% domestic manufacturing. Simultaneously, the tariff premium on imported vehicles, reported at around 40%, would fall to zero by financial year 2030, and a 30% depreciation cap on imported vehicle pricing has been floated to limit how aggressively used imports can undercut local production.

Figure 5. Localisation targets, old floor against new ambition



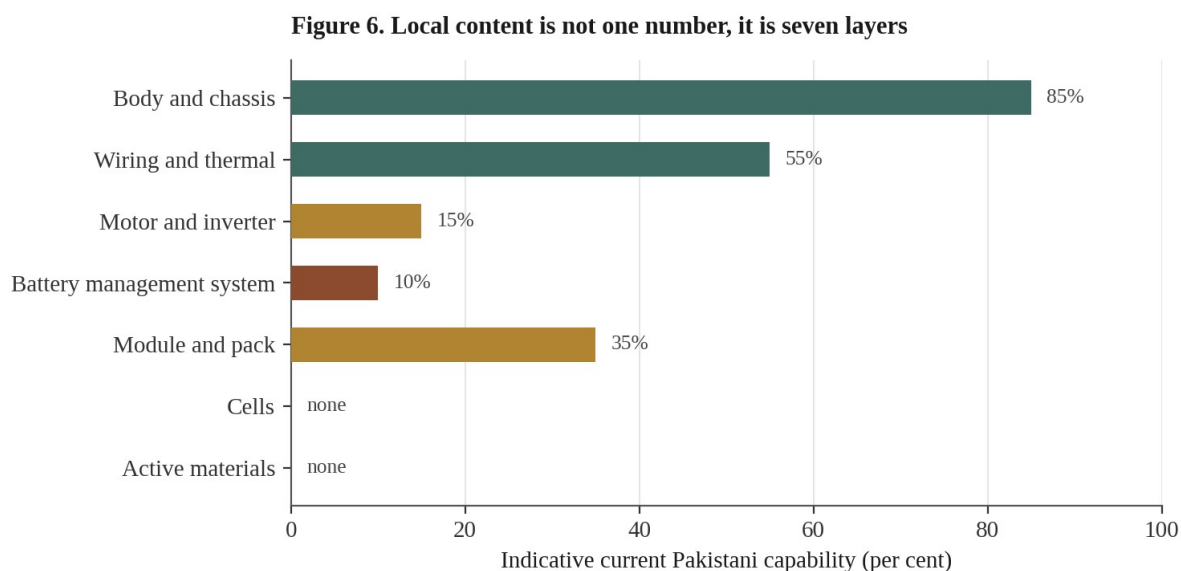
The proposed thresholds represent a near tripling of the old floor, at the same time as tariff protection is scheduled to disappear.

That combination is more demanding than it initially appears, and its difficulty seems to have been underestimated across most commentary on the draft. Raising local content thresholds while simultaneously dismantling the tariff wall requires manufacturers to reach a substantially higher standard at precisely the moment the protection that rendered the lower standard survivable is withdrawn. The design is sound in principle because it penalises operations that remain limited to assembly and rewards manufacturers that construct genuine domestic supply chains, an outcome that the domestic parts manufacturing industry has consistently sought. It is also, on the evidence of the delivery record examined in section 1.2, considerably more ambitious than Pakistan's institutional capacity has recently demonstrated.

As of the writing of this report a steering committee reportedly led by Ishaq Dar had reached consensus in principle on the shape of the successor policy, but it had not moved through the Ministry of Industries and Production's formal process, let alone reached the cabinet. That consensus in principle is

a meaningful signal and more concrete than the working group recommendations behind the battery policy, but it is not notified law, and the specific percentages should be read as the current proposal rather than settled fact. Given how frequently Pakistani automotive policy has been revised between draft and notification, a prudent model should use a range rather than a point estimate, and should watch specifically whether the 80% and 55% figures survive contact with cabinet review or are softened as comparable targets have been in previous cycles.

For due diligence, it is more useful to disaggregate local content layer by layer than to track a headline percentage, because a single blended number conceals exactly the substitution this report warns about throughout. Figure 6 sets out the seven layers together with this report's assessment of where Pakistani capability presently sits in each. The figure establishes that an 80% headline could in principle be attained almost entirely through body, chassis, wiring and thermal systems, the two layers in which Pakistan already possesses decades of experience, while the motor, the battery management system and the cells themselves remain wholly import dependent. Any assessment of a particular venture's compliance should therefore require this breakdown rather than accept an aggregate figure, since the aggregate discloses almost nothing as to whether the strategically significant components of the vehicle are being produced in Pakistan.



Analytical assessment based on documented project scope, not a measured production share.

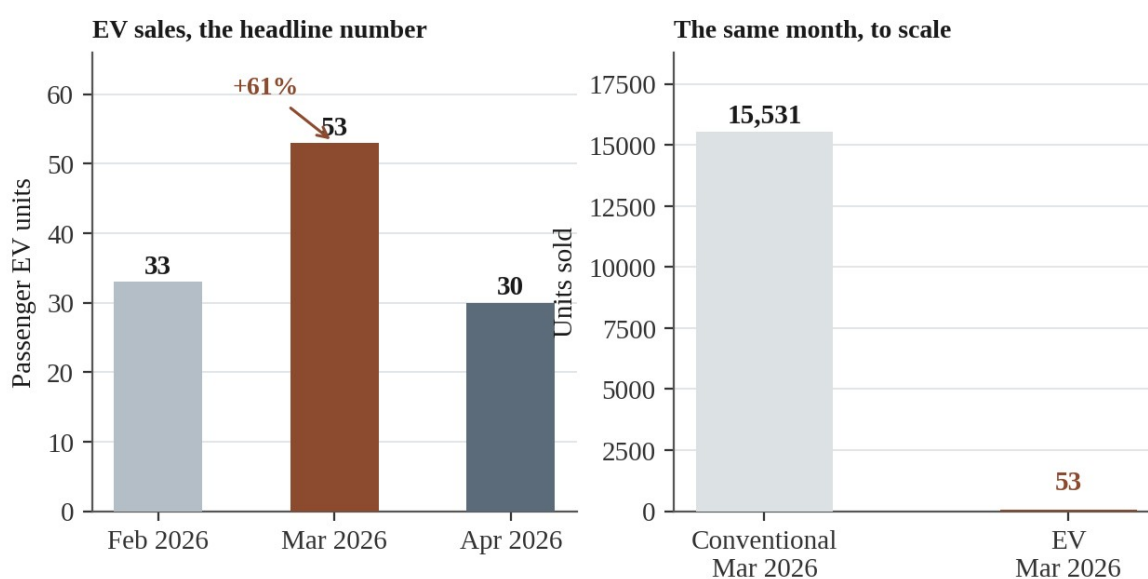
An 80% headline figure can be reached without touching a single strategically significant component.

2. The Market

2.1 The 61% Jump, Examined

The most widely circulated statistic about Pakistan's electric vehicle market this year is that sales rose 61% in a single month. The figure is accurate. It originates in Arif Habib Limited's monthly automotive tracking and was subsequently reported by ProPakistani and several other outlets. It describes passenger electric vehicle sales moving from 33 units in February 2026 to 53 units in March 2026.

Figure 7. The 61 per cent jump, shown against its own base



Both panels show the same March 2026 data. The right panel adds the denominator that most coverage omits.

53 units is not a market. It is a rounding error against the roughly 15,500 conventional cars, light commercial vehicles, vans and jeeps sold in the same month. The percentage is real and the direction it indicates is real, but its reproduction without the underlying base conveys to an investor a materially inflated impression of present demand. The figure has been cited in investment contexts as though it described growth in market share rather than the sale of 20 additional vehicles.

The surrounding context makes the picture more complicated. March 2026 was a weak month for conventional vehicles across the board. Passenger car sales fell 12% month on month, with the 1000cc segment, historically the backbone of the Pakistani market, dropping by 36%. Cars below 1000cc

slipped 18% and even the 1300cc and above category declined by 6%. Against that backdrop, a small absolute increase in a statistically negligible segment looks less like electric vehicles pulling ahead on their merits and more like one soft month for the broader market coinciding with modest movement in a category too small to draw conclusions from. It is also important to note that, despite the month on month weakness, overall vehicle sales were still 40% higher year on year, indicating that the broader market was undergoing a genuine recovery.

April made the trend claim harder still. Model level data showed the Honri Ve, one of the more visible electric models in the reporting, falling 43% month on month from 53 units to 30 units. Whether this represents a genuine reversal, ordinary volatility in a market where a single fleet order swings the percentage dramatically, or a reporting artefact specific to one model cannot be determined from public data. The defensible conclusion is that March confirmed the existence of a real demand signal and that the public dataset is too fragmented to support any claim about trajectory beyond that.

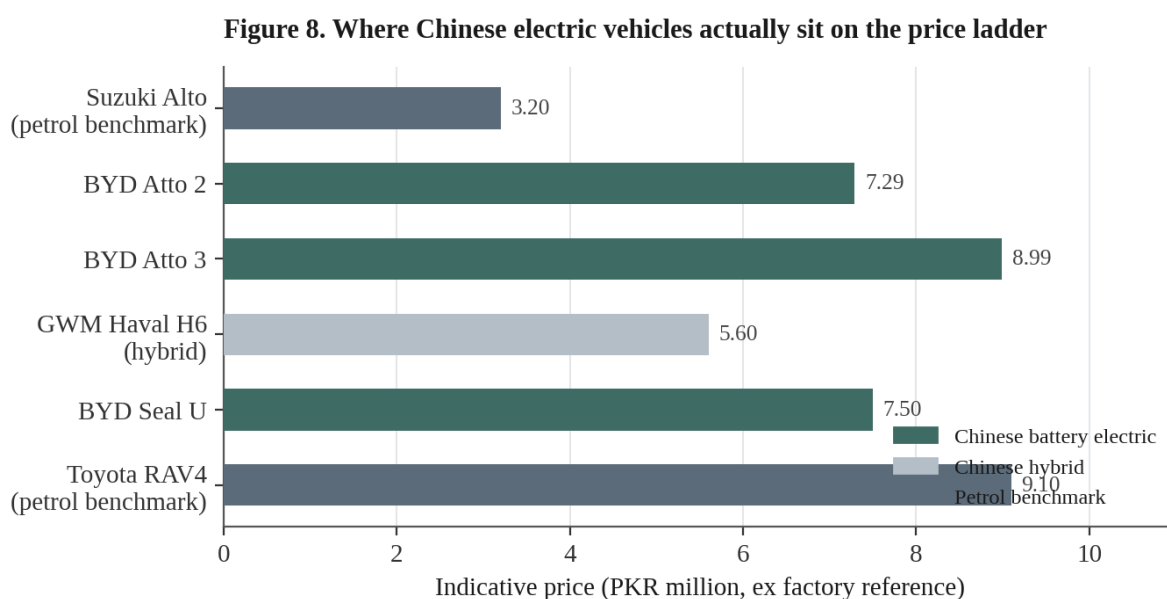
The fragmentation is structural rather than temporary, and it is worth understanding because it affects every number in this section. Pakistan has no single centralised dataset combining monthly electric, hybrid and plug in hybrid registrations by brand and province. The Pakistan Automotive Manufacturers Association bulletins, the most cited source, are built around member manufacturers reporting largely conventional vehicles, with electric figures appearing inconsistently and sometimes aggregated in ways that defeat brand level comparison across months. Provincial registration authorities keep their own records in formats that resist aggregation. Customs data captures imported units but is not published broken down by engine capacity or battery powertrain in a form that reconciles with either. Anyone building a national picture has to triangulate across manufacturer disclosures, provincial registrations, customs statistics and company announcements, each capturing a different, partially overlapping slice of the market.

Against the enthusiasm the March figure generated, there is one countervailing data point that deserves attention because it speaks to whether early adoption is converting into durable confidence. Evidence from the 2025 to 2026 period suggests some electric models are losing between 15% and 25% of their value within 18 months, driven by buyer scepticism about battery degradation and range anxiety in a market with no mature

secondary market for electric vehicles and no standardised battery health certification. Pakistani car buying culture treats a vehicle as a liquid financial asset with an established resale market, an expectation electric vehicles do not yet meet. This is a genuine demand side headwind sitting alongside the more commonly discussed constraints of price and charging access, and it receives less attention than it deserves.

2.2 Where Chinese Vehicles Actually Sit on the Price Ladder

The most useful reference point for understanding Pakistani vehicle pricing is the Suzuki Alto, which has defined the mass market for decades and continues to do so, moving over 7,000 units in several recent months and taking close to a third of the passenger car market by volume in some periods. No electric vehicle currently sold in Pakistan competes with the Alto on price, and none is likely to do so at current battery costs. That gap is the clearest available evidence that affordability rather than technology preference remains the binding constraint on mass adoption.



Several Chinese electric models now undercut the Japanese petrol benchmark, but nothing approaches the segment that actually drives volume.

Above the entry tier the ladder has widened genuinely over the past year, from what was effectively a single premium niche into a structured set of segments. BYD's Atto 2 launched in late January 2026 at roughly Rs. 7,290,000, making it the most affordable brand new electric sport utility vehicle on sale and positioning it against petrol powered B segment vehicles such as the Chery Tiggo 4 and MG ZS rather than against other electric

vehicles. That targeting choice is strategically significant. Rather than competing for share within the tiny existing electric buyer pool, the Atto 2 is aimed at conquest sales from petrol buyers who had not previously considered electric at all.

The Atto 3 sits roughly Rs. 1,700,000 above it at approximately Rs. 8,990,000, offering a larger footprint and a cabin that reviewers and owners consistently describe as unusually premium for the bracket, built on the same blade battery architecture BYD uses across its range. Above that, the Seal U occupies the mid to upper segment at roughly USD 25,000, while GWM's Haval H6, sold as a hybrid in most Pakistani configurations, sits below in the USD 18,000-22,000 range. Toyota's RAV4, the benchmark against which Pakistani buyers implicitly compare these vehicles, sits in the USD 30,000-35,000 range, meaning several higher volume Chinese offerings now undercut the equivalent Japanese hybrid on sticker price, which is new in a market Japanese brands have dominated for decades.

What this widening implies for localisation is fairly direct. High volume, more affordable models are the most plausible candidates for local manufacturing at scale, because their volumes can justify the fixed costs of establishing domestic supply for seats, wiring harnesses and body panels. Premium vehicles will likely remain import heavy regardless of what local content thresholds eventually require, because the volumes rarely justify dedicated tooling and manufacturers at that end will accept a tariff penalty rather than invest in low volume local production. This bifurcation appears in virtually every developing automotive market and there is no reason to expect Pakistan to be an exception.

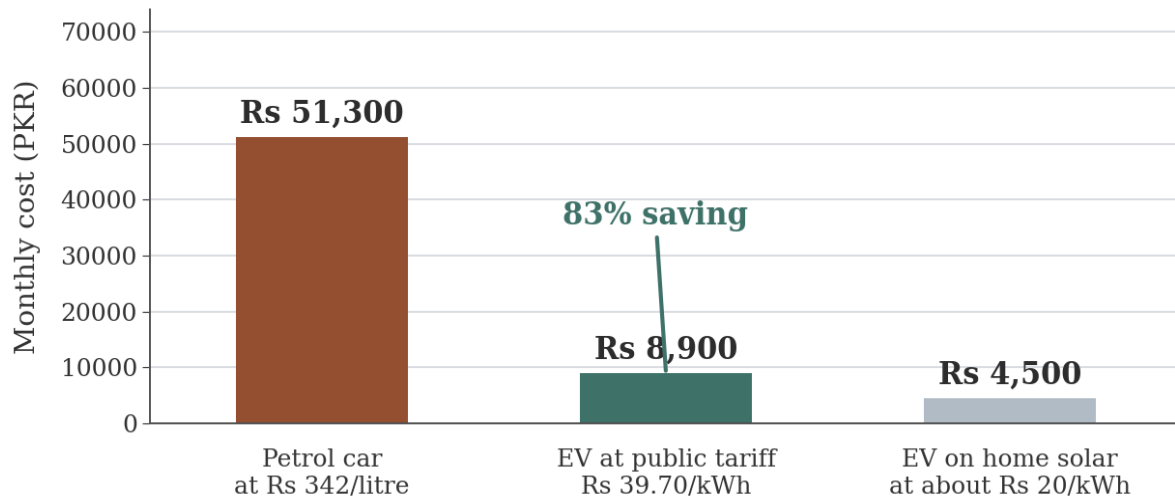
One further dynamic complicates any simple story about Chinese vehicles undercutting on cost. Every price above is an ex factory or listed price point excluding freight, registration, withholding tax and dealer documentation charges, all of which add meaningfully to what a buyer actually pays. Because Pakistani vehicle taxation is structured progressively with respect to value, this wedge widens as prices rise, so the effective landed price diverges from the listed figure most at exactly the end of the market where Chinese manufacturers have been positioning their more profitable models. Any competitive benchmarking that uses ex factory prices alone will systematically overstate how competitively these vehicles are priced by the time they reach a showroom floor.

It is also worth noting what the price ladder does not yet contain, because the absence is strategically significant. There is no locally assembled electric vehicle at a genuinely mass market price point, and there will not be until the Gharo plant discussed in section 4 reaches volume and begins passing its cost advantage through to consumers. The most consequential pricing event in this market over the next 18 months is therefore not a new model launch but the first locally assembled BYD reaching dealers, because that is the point at which the import duty component of the price comes out and the ladder's bottom rung has a chance of moving down toward where Pakistani buyers actually are.

2.3 The Running Cost Arithmetic

A specific comparison has circulated widely enough in Pakistani marketing and social media to have taken on a life of its own, claiming that charging an electric vehicle costs around Rs. 4,000 a month against a petrol equivalent of roughly Rs. 60,500. The comparison is not fabricated. It rests on a single reported case involving a Lahore commuter. It is not, however, a methodology, and it should not be treated as representative.

A defensible calculation needs four published inputs. Petrol currently sells at approximately Rs. 342 per litre. A reasonably efficient petrol car achieves around 10 kilometres per litre in Pakistani mixed driving. A comparable electric vehicle consumes approximately 15 kilowatt hours per 100 kilometres, consistent with the compact and midsize electric sport utility vehicles actually sold in Pakistan. The official electric vehicle charging station tariff, set by the National Electric Power Regulatory Authority and the Power Division under a discounted structure specific to public charging, is Rs. 39.70 per kilowatt hour.

Figure 9. Running cost at 1,500 km per month, using published tariffs

At 1,500 km per month using published tariffs, the saving is approximately 83%. The widely quoted figure describes home solar charging, not the public tariff.

For an active urban commuter in Lahore or Karachi travelling approximately 1,500 kilometres a month, the petrol bill comes to roughly Rs. 51,300. The same distance charged entirely at the official public tariff costs approximately Rs. 8,900. A driver charging at home from rooftop solar at something closer to Rs. 20 per kilowatt hour would pay around Rs. 4,500, which is almost certainly where the widely quoted Rs. 4,000 figure originated, as an outcome specific to solar home charging rather than any market average.

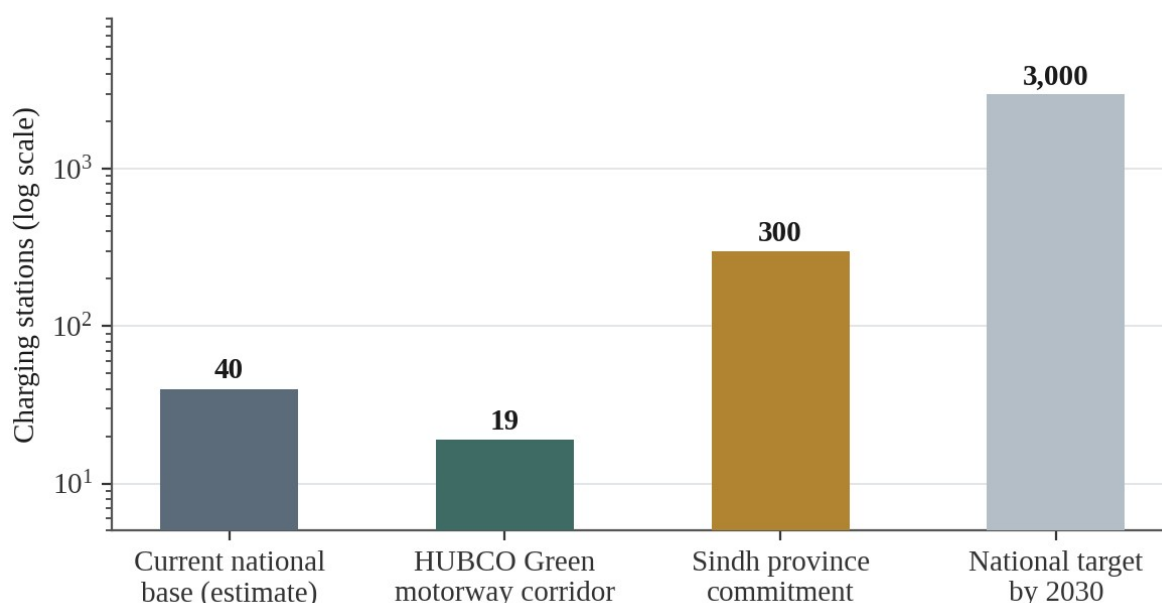
That distinction is not a technicality, and it matters more for infrastructure investors than for vehicle buyers. A network operator building public fast charging and billing at the official tariff offers drivers roughly an 83% saving against petrol per kilometre, which remains a compelling proposition without any home solar advantage. But it is a fundamentally different business, with different revenue per kilowatt hour, than a market where most charging happens at home on solar and public infrastructure exists mainly to serve intercity travel. Given Pakistan's solar boom and the strong overlap between rooftop solar adopters and early electric vehicle buyers, it is plausible that a meaningful share of current charging happens at the cheaper home rate, which would mean the aggregate advantage for today's buyer base sits closer to the dramatic end of the range even though the viral framing overstates it as a universal figure.

The regulatory history behind the Rs. 39.70 tariff is itself worth understanding, because it did not emerge from nowhere and its durability is an open question. The tariff rationalisation process for charging stations, documented in regulator and Power Division filings through 2025 and 2026, involved a deliberate discount against the commercial tariff that would otherwise apply to a business drawing that much power, to make public charging viable for operators while keeping the driver facing price low enough to sustain the value proposition. This is a subsidy in substance if not in name, and subsidies in Pakistan's power sector have a well documented history of coming under fiscal pressure. Any long term model for a charging business should stress test what happens to unit economics if that discount narrows or disappears.

There is a national scale version of this arithmetic that policymakers have used to justify the whole programme, and it is worth noting because it is more specific than most Pakistani policy costings. The government's own analysis projects total electric vehicle energy demand over the five year policy period at 126 terawatt hours, and argues this can be met from existing surplus in the national grid rather than requiring new generation. It further projects a reduction in the fuel import bill from around Rs. 174 billion to Rs. 105 billion, with carbon credits potentially generating a further Rs. 15 billion in revenue. For the two and three wheeler segment the payback arithmetic is unusually favourable: an electric bike carries an additional upfront cost of roughly Rs. 150,000 and recovers that premium in under two years through fuel savings alone. Whether the surplus generation assumption survives contact with the grid stability concerns discussed in section 3.2 is a genuine open question, but the costing is at least specific enough to be tested.

2.4 Charging Infrastructure as the Binding Constraint

Pakistan has no officially verified count of its public charging network, which is itself informative. The most consistently cited estimate puts the national total between 30 and 50 publicly accessible stations, a range wide enough to reflect genuine uncertainty rather than agreement. Against that base, the national target is 3,000 stations by 2030, and the electric vehicle policy specifies a corridor design of roughly 40 new stations positioned approximately every 105 kilometres along highways. Sindh has separately committed to a 300 station provincial buildout.

Figure 10. The charging gap, on a logarithmic scale

A logarithmic scale is necessary because the current base and the 2030 target differ by roughly two orders of magnitude.

The geographic distribution of what exists is described inconsistently by different sources, which again reflects the absence of any authoritative dataset. Islamabad consistently comes out ahead on density, with charging points across Blue Area, Centaurus Mall, and sectors including F-6, F-8, I-8, I-9, I-10 and G-6, alongside the Defence Complex, benefiting from the capital's compact planned layout. Lahore has built what several sources describe as the largest network by station count, spread across Defence Housing Authority areas, Gulberg, Cantt, Johar Town, Bedian Road, MM Alam Road, Thokar Niaz Baig and Packages Mall, with some installations in Defence Phase Six and Gulberg running on solar canopies that keep operating through load shedding, a genuinely valuable resilience feature.

Karachi is where sources actively contradict each other. Some describe it as having the thinnest public network of the three major cities relative to population. Others describe it as having the largest raw count precisely because of the city's size. This is not a discrepancy to wave away. It points to the absence of any single authoritative dataset that different commentators are drawing from, and it means any siting decision premised on Karachi being either underserved or adequately served needs independent verification rather than reliance on published figures.

The development that adds the most substance to an otherwise thin picture is HUBCO Green's motorway corridor, which connects directly to the assembly venture discussed in section 4. HUBCO Green, established as a wholly owned subsidiary specifically to build a national charging network, has installed 19 public direct current fast charging stations along the roughly 1,300 kilometre Karachi to Peshawar corridor. This is arguably as strategically important to BYD's Pakistani prospects as the assembly plant itself, because a manufacturer can sell electric vehicles indefinitely without expanding the addressable market if buyers remain confined to short urban trips by charging anxiety. A functioning long distance corridor, even a sparse one, changes the calculation for a buyer considering an electric vehicle as a primary rather than a second car.

The material detail is that the corridor investment originates from the same corporate group constructing the assembly capacity rather than from an unrelated third party. This indicates that at least one major investor in Pakistan has recognised that vehicle sales and charging infrastructure must be developed in parallel rather than sequentially, and it establishes an integrated position that a later entrant would find expensive to replicate. For a Chinese investor assessing entry, the significance is competitive rather than merely infrastructural. The most commercially attractive charging corridor in the country is already controlled by a group holding a specific vehicle brand relationship.

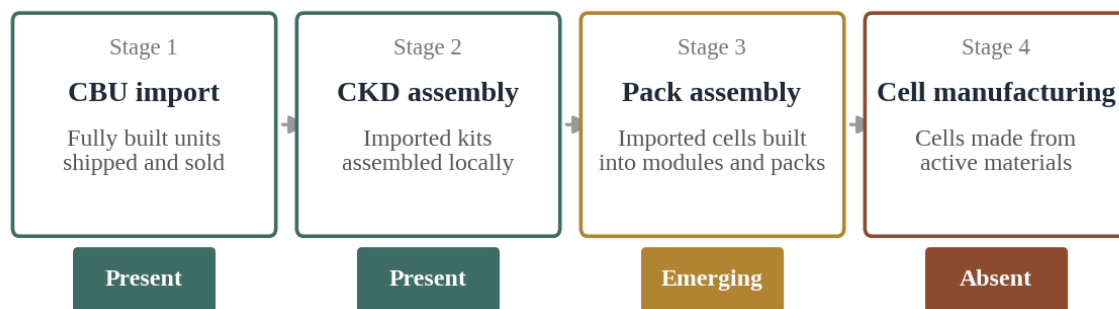
The more useful question than how many chargers exist nationally is how many exist at reasonable intervals along the corridors Pakistanis actually travel, and in the secondary cities outside the three major cities. A fourth charger within an already served Lahore neighbourhood adds little. One installed at a sensible interval on the Karachi to Hyderabad stretch, or in Faisalabad, Multan or Peshawar, does considerably more to make electric vehicle ownership practical rather than an urban novelty. Given that the 3,000 station target implies an enormous buildout against today's base, the sequencing of that buildout will matter as much as the total, and on the evidence of the delivery record examined in section 1.2, the total itself should be treated as directional rather than as a plan.

3. Supply Chain and Mineral Reality

3.1 Assembly, Manufacturing, and the Test That Separates Them

The most useful discipline available to an investor assessing any Pakistani battery or vehicle project is a classification test that is quickly applied and that resolves the greater part of the confusion surrounding this sector. If a project imports finished cells and its Pakistani operation builds them into modules and packs, it is assembly and value addition, which is genuine, useful, investable industrial activity, but is categorically not cell manufacturing. If a project makes electrochemical cells from active materials with real local process control, then it is manufacturing in the true sense of the word.

Figure 11. Pakistan's position on the battery value chain



Applied honestly, the test places essentially all current Pakistani activity in the first two stages.

Applied across the current landscape, the evidence overwhelmingly favours the earlier stages. Pakistan has meaningful and growing evidence of pack and system assembly, battery management system integration, imported cells being packaged into finished products, and a rapidly expanding storage distribution network. It has essentially no evidence of cell production. The capabilities that would need to be developed to get there, including cell manufacturing, battery management system design, testing and qualification infrastructure, a functioning recycling loop and upstream material processing, are identified in the government's own investment promotion material, which is a candid admission worth taking seriously rather than dismissing as boilerplate.

The clearest illustration is the country's first dedicated lithium battery assembly facility, in the Korangi Industrial Area of Karachi, developed by the Pakistan Solar Association in coordination with the Engineering Development Board. Its significance is real. It is the first facility of its kind and represents actual capital deployed into battery assembly rather than vehicle assembly, and it targets the electric two and three wheeler segment, which is where Pakistan has the clearest near term path to meaningful electrification given the price sensitivity documented in section 2.

Its limitations are equally real and rarely stated alongside the enthusiasm. Reporting describes an initial capacity around 4 megawatts, and separately an output of roughly 2,000 units a month for small vehicle batteries. Both describe a modest operation by any international standard for battery manufacturing, let alone anything resembling the gigafactory concept occasionally used in Pakistan. The facility matters as a first mover and a proof of concept. It does not establish a scaled domestic cell industry, and treating it as evidence that Pakistan has crossed into cell manufacturing would substantially overstate what has been built.

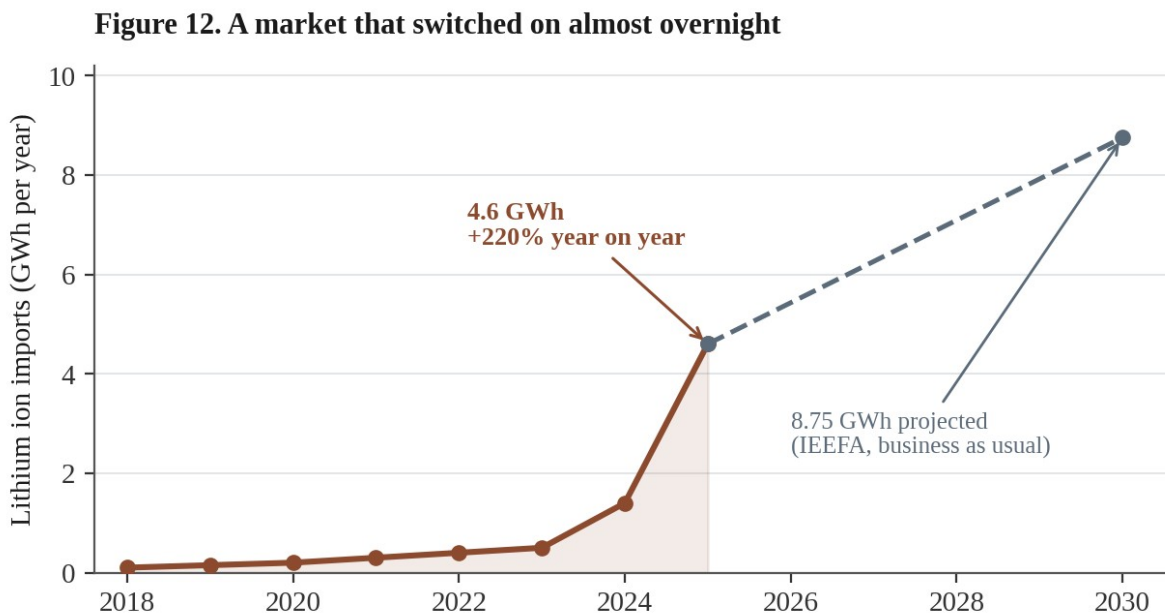
The same terminological slippage runs through the vehicle side. Industry analysts covering the sector have been explicit that under current arrangements Chinese companies are largely importing vehicles and assembling them locally through completely built or semi assembled routes without major investment in localisation or technology transfer. This is not a criticism specific to any manufacturer, and it reflects a rational calculation in a market where demand certainty is limited and the tariff framework is unsettled. But it does mean a facility publicly described as a manufacturing plant may be performing an assembly function adding considerably less domestic value than the word implies, and due diligence should insist on the actual bill of materials and the share sourced domestically rather than accepting a project's self description.

The practical structuring implication is to stage a project's ambitions against the ladder rather than pricing an entire investment as though it will occupy the top rung immediately. A first stage can legitimately and profitably combine imported cells with local module and pack assembly, battery management system integration and testing, all genuine value addition over pure imports and consistent with actual Pakistani capability. A second stage should target local electrode and material processing. A third, conditioned on cell line economics, qualification pathways once standards are finalised, and a genuine recycling loop, would be the point at which an operation could

honestly describe itself as cell manufacturing. A project priced at stage 3 valuations while operating at stage 1 should not receive stage 3 policy treatment or investor confidence.

3.2 Import Dependency and What the Trade Data Shows

The scale of Pakistani dependence on imported cells and packs is best understood through the lithium ion storage import data compiled by Renewables First, an Islamabad think tank whose report *From Solar Panels to Storage* provides the most detailed public picture available. Cumulative lithium ion battery imports since 2018 reached 7.6 gigawatt hours by the end of 2025. The trajectory behind that total is what makes it striking rather than merely large.



Nearly 60% of everything imported since 2018 arrived in a single calendar year.

Annual imports ran between one tenth and half a gigawatt hour from 2018 through 2023, essentially a niche. In 2024 that jumped to 1.4 gigawatt hours. In 2025 it nearly tripled again to 4.6, a 220% year on year increase. Early indications suggest the pattern held through the first half of 2026, with March and April running particularly high.

A separate projection from the Institute for Energy Economics and Financial Analysis put 2024 battery pack imports specifically at approximately 1.25 gigawatt hours, with a further 400 megawatt hours in the first two months of

2025, and projected imports reaching 8.75 gigawatt hours by 2030 on a business as usual basis.

The growth in battery imports is not simply a demand signal the government wants to accelerate without qualification. It is a trend Pakistan's own energy regulators are simultaneously trying to manage, given knock on effects for a power sector already carrying circular debt and stranded capacity obligations from earlier generation investment. Anyone assuming that policy will move unambiguously toward maximising battery adoption is missing a genuine internal tension within the government's own position, and that tension is likeliest to surface as pressure on exactly the charging tariff discount discussed in section 2.3.

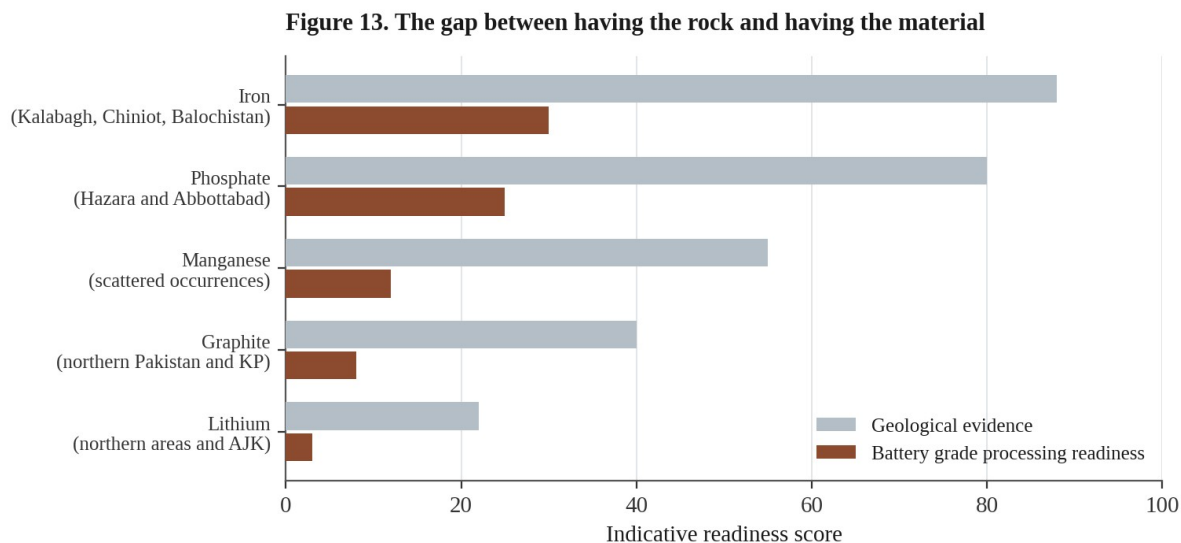
This import growth sits directly alongside Pakistan's rooftop solar boom, which is its principal driver. Cumulative installed solar photovoltaic capacity has grown from under 2 gigawatts three years ago to approximately 38 gigawatts by financial year 2025, one of the fastest expansions of distributed solar anywhere in the world over that period. The Federal Minister for Power has unveiled a roadmap targeting 90% clean electricity by 2035, up from roughly 55% currently, a target implicitly assuming continued rapid growth in both solar and the storage needed to make it achievable. The government has also launched an initiative aimed at building local manufacturing bases for clean energy components, an explicit acknowledgment that importing the hardware behind this transition indefinitely represents both a missed opportunity and a growing balance of payments exposure.

The pricing data attached to this surge explains why local manufacturing would represent a genuine cost advantage rather than merely a nationalist preference. Average lithium ion pack prices in Pakistan range between USD 230-360 per kilowatt hour, considerably above prices in mature manufacturing markets, a gap attributed primarily to import taxes and customs duties rather than any underlying difference in global cell costs. This produces a genuine policy paradox. The tariff structure intended to protect and incentivise future domestic manufacturing is, in the interim, sustaining elevated consumer prices in a manner that retards the adoption curve the wider policy seeks to accelerate. Resolving that tension constitutes one of the substantive design challenges facing the framework discussed in section 1, and it admits of no obvious solution, since the two objectives operate in direct opposition over the short run.

For anyone building an import substitution thesis, the disciplined approach is to disaggregate rather than treat battery imports as one line. Finished packs and complete storage systems are where local assembly can capture value in the near term, closest to demonstrated capability. Modules sit one step up. Cells, cathode active material, anode material and electrolyte and separator components are progressively harder, requiring process engineering capability Pakistan does not currently possess anywhere in its industrial base. A thesis built on pack and module substitution is grounded in demonstrated capability against a large and rapidly growing addressable volume. A thesis built on cell or cathode substitution is a fundamentally different proposition requiring capability developed from a standing start, and folding the two into one growth narrative is precisely the error this report exists to correct.

3.3 The Mineral Base: Geology Against Battery Grade Reality

Pakistani officials have repeatedly cited domestic phosphate, iron and manganese deposits as the rationale for prioritising lithium iron phosphate battery type, on the logic that Pakistan possesses a real base for the two elements giving the battery technology its name in a way it does not for nickel or cobalt. The claim deserves to be taken seriously rather than dismissed, because at the level of geological occurrence it is substantially true. It also deserves considerably more scrutiny than it has received, because geological occurrence and battery grade processed material are separated by an enormous amount of metallurgical capability that Pakistan has not demonstrated at scale.



Analytical scoring based on documented survey evidence, not proven reserve tonnage.

The rock is real. The processing capability that turns rock into battery grade material largely is not.

Working through the inputs individually, iron resources are genuinely well established, with significant deposits documented in the Mianwali and Kalabagh areas of Punjab, at Chiniot, and across parts of Balochistan. Phosphate is similarly well established as a mining category, with an active base centred on the Hazara and Abbottabad districts including newer occurrences identified in more recent surveys. Manganese has documented occurrences across the country, though locations and reserve estimates are less consistently reported than for iron or phosphate. Lithium remains at exploration stage in Gilgit Baltistan and Azad Jammu and Kashmir, with no proven commercial supply anywhere. Graphite, relevant to the anode rather than the cathode, has documented occurrences in northern Pakistan and Khyber Pakhtunkhwa with quality and scale constraints noted in the survey material.

The distinction running through all five is between a documented occurrence and proven commercial viability. An iron ore deposit entirely suitable for conventional steelmaking may require a different and considerably more expensive and complex purification process to reach battery grade cathode purity, where trace impurities acceptable in structural steel degrade cell performance and safety. The same applies to phosphate, where the Hazara and Abbottabad base has been developed and optimised for fertiliser grade output over decades. Converting that supply chain, or building a parallel one, to battery grade purity is a substantial engineering and capital undertaking that has not, on the evidence available, begun at meaningful scale.

For lithium the gap is starker still. Exploration stage resources by definition have not been proven at a scale or grade supporting commercial extraction, let alone battery grade refining. Pakistan should not be counted as having a domestic lithium supply in any near term sense regardless of how the mineral base narrative is framed in policy documents, and an investor who reads the official framing as implying otherwise is being misled by omission rather than assertion.

This matters enormously for how the entire localisation strategy should be read. The rationale for choosing this battery technology rests on the claim that Pakistan has the raw material base to support it domestically. That claim is true at the geological level for iron and phosphate, weaker for manganese, and essentially untrue for lithium and graphite in any near term commercial sense. A genuinely domestic supply chain sourcing battery grade iron and phosphate from Pakistani mines remains a plausible medium to long term outcome given the underlying geology, but it is not a current reality, and no public investment material or survey document this report could access establishes that battery grade processing of Pakistani iron or phosphate has been proven, let alone scaled. This is precisely the kind of open item a Chinese investor should insist on verifying independently through a specific geological and metallurgical assessment against battery grade specifications, rather than accepting the general narrative from ministerial statements.

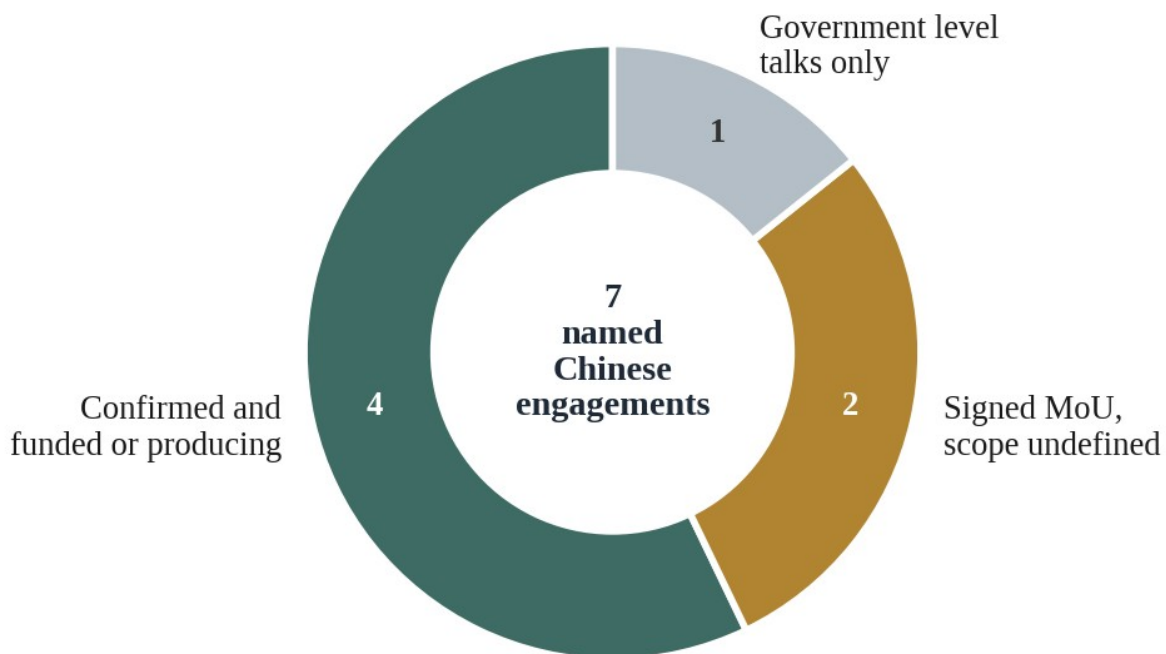
There is a comparative lesson here that Pakistani policymakers and the investors evaluating their claims would do well to keep in view. Indonesia's nickel processing buildout, frequently cited as the template for how a resource endowed developing country forces its way up the battery chain, took the better part of a decade, required tens of billions of dollars in smelting and refining capital supplied predominantly by Chinese partners rather than domestic capital, and depended on an ore export ban that left foreign processors no alternative but to build onshore. Pakistan has neither the scale of proven reserves represented by Indonesia's nickel base, nor an equivalent export restriction mechanism, nor committed capital approaching what that buildout requires. The underlying iron and phosphate geology is real and relevant to this specific type of battery in a way few developing markets can claim. The timeline for converting it into a functioning battery grade supply chain is simply far longer and more capital intensive than the current policy narrative suggests.

4. The Chinese Investment Tracker

4.1 Named Engagements, Sorted by What They Actually Commit

The most advanced and best documented Chinese linked investment in the sector is the joint venture between Hub Power Holdings Limited, a wholly owned subsidiary of HUBCO, Pakistan's largest independent power producer, and Mega Conglomerate Private Limited, itself HUBCO's largest single shareholder at roughly 19.5%. The vehicle is Mega Motor Company Private Limited, split exactly 50:50 between the two partners.

Figure 14. The Chinese deal pipeline by confidence level



The tracker identifies four confirmed ventures, two memoranda with undefined scope, and one government level conversation.

BYD's actual role in that structure is frequently misreported and is worth stating precisely. BYD has not taken an equity stake in Mega Motor Company. Its involvement runs through a master supply and manufacture agreement, a technical licence agreement and a distribution arrangement, giving it control over technology, branding and component supply without carrying direct equity or balance sheet exposure to the Pakistani venture.

This is a common structure for Chinese automakers entering markets where they want a manufacturing foothold without committing capital directly, and understanding it matters for locating where the financial risk actually sits, which is overwhelmingly with the two Pakistani partners rather than with BYD.

The project is a CKD assembly plant at Gharo in Sindh, with a reported cost of approximately USD 150 million on a 60:40 debt to equity basis, designed for 25,000 vehicles a year. Financial close was achieved in January 2026. HUBCO's own disclosures put its investment in the venture at approximately Rs. 8.8 billion as of the end of December 2025, with commercial operations expected in the second half of 2026 and the first locally assembled vehicles reaching dealers before year end. Both foreign and local lenders participated in the debt financing with a term sheet signed ahead of close, indicating conventional project finance discipline and independent lender diligence rather than a purely strategic commitment. The credit rating agency assessing HUBCO has separately noted that the planned electric vehicle investments are expected to materially increase group leverage, which is a candid acknowledgment that this is a genuine balance sheet commitment rather than a costless option.

What makes this a useful test case is that it is, by its own description, assembly rather than manufacturing. 25,000 units a year is meaningful for the Pakistani market, roughly a month or two of total national passenger vehicle sales at current run rates, but volume says nothing about how much value is created domestically. The real test will come when the Gharo line begins commercial production and the actual local content of vehicles rolling off it can be assessed against whatever requirements are in force at that point.

On the battery side, Treet Battery Limited signed a memorandum of understanding on 25 May 2026 with Contemporary Nebula Technology Energy Company, in which CATL holds a strategic investment. This should be understood exactly for what it is. It is a real, publicly disclosed agreement between two named entities, establishing a framework to explore energy storage cooperation and potential introduction of CATL cell based products into Pakistan, leveraging Treet's existing distribution and after sales network. It is not a commitment to cell production, and it should not be classified alongside the Gharo project as manufacturing investment. It is a confirmed commercial relationship and a credible pathway toward CATL linked

technology, but its own language stops well short of committing either party to local assembly.

Direct engagement between the Government of Pakistan and CATL itself sits earlier still. In May 2026 CATL's Executive President Oscar Luo met Prime Minister Shehbaz Sharif in Hangzhou, with discussions covering advanced battery technology, storage solutions and investment across renewable energy and electric mobility. Pakistan's ambassador to Beijing separately confirmed active discussions, framing them within the second phase of the China Pakistan Economic Corridor, which has shifted emphasis from power generation and infrastructure projects towards manufacturing and technology transfer. No public reporting discloses an investment figure, plant capacity or implementation timetable. This is an engagement at the talks stage, significant as a signal of top level interest from the world's largest battery manufacturer, but categorically different from either the Gharo project or the Treet memorandum.

Completing the tracker, a memorandum between StarCharge Energy Pakistan and Bahum Global announced in July 2026 covers charging ecosystem development alongside local manufacturing and technology transfer ambitions, with scope and timeline still to be defined. On the vehicle side beyond BYD, Chery's venture with Master Group has moved furthest, with locally assembled Tiggo 8 and Tiggo 9 models already launched and on sale, making it the most advanced example of actual production among Chinese-branded operations in Pakistan. Jetour has entered through United Motors, and Chery's Jaecoo and Omoda export brands are being developed through NexGen Auto, connected to the Nishat Group. Each should be seen through the same lens applied to Gharo: genuine and welcome investment in assembly capacity, not manufacturing in the real sense.

4.2 Structuring an Entry Against What This Evidence Shows

For an investor evaluating fresh entry rather than observing existing deals, the accumulated evidence points toward several structuring principles beyond the staged approach already set out in section 1. The first is to separate the equity structure from the technology relationship, following the precedent BYD itself established. Providing technology, branding and component supply through licensing and supply agreements rather than direct equity allows participation in Pakistani market growth while limiting balance sheet exposure to currency volatility, an unsettled tariff framework

and the broader macroeconomic and political risk any investor here must price.

That is not a universal recommendation. A manufacturer with genuine ambitions to build deep local capability rather than simply access the market through a licensed partner may reasonably prefer direct equity to maintain control over execution and quality. But for an investor whose primary interest is market access and brand presence, the licensing structure deserves serious consideration as the lower risk entry, and the fact that the most sophisticated Chinese entrant to date chose exactly this route is evidence worth weighing rather than coincidence.

The second principle is to insist on defining measurable technical milestones that separate the value chain stages set out in section 3, rather than leaving them as loosely worded aspirations. Both the Treet and StarCharge agreements are currently structured as frameworks for exploring cooperation rather than binding commitments with defined deliverables. That is a reasonable first step in an unfamiliar market. But any investor entering a similar framework should push, in subsequent definitive agreements, for specific contractually defined indicators around cell, module and pack level output that allow both parties, and any outside observer conducting later diligence, to assess objectively whether the partnership is progressing up the ladder or remaining static at assembly and distribution indefinitely.

The third concerns how to treat unfinalised policy when negotiating today. Rather than waiting for finalisation, which risks losing first mover positioning, or signing binding long term commitments premised on pitchbook figures as though they were law, the defensible middle path builds explicit renegotiation triggers into definitive agreements, specifying that key terms around tariff treatment, local content obligations and incentive dependent capital commitments will be revisited on formal gazettal if notified terms differ materially from what circulated during negotiation. This is standard practice for industrial investment in jurisdictions with genuinely evolving frameworks, and its absence from an agreement signed in Pakistan today should be read as a signal about the drafting party's sophistication rather than as confidence in the policy trajectory.

The fourth follows from the PAVE record in section 1.2 and applies specifically to any project whose economics depend on a government disbursement rather than a tariff concession. Tariff concessions operate at the border and require no administrative discretion once notified. Subsidy

disbursements require a functioning payment chain, and Pakistan's demonstrated record on that chain is 13% delivery against a fully funded first phase. Any project relying on subsidy flow rather than duty relief should model a substantial delay assumption and, where possible, negotiate for the tariff based version of an incentive over the disbursement based version even at a lower headline value, because a smaller concession that operates automatically is worth more than a larger one that depends on an administrative process with this track record.

Finally, given the distinction between CATL as a corporate entity and the separate company in which it holds a strategic investment, any investor should be precise in how it characterises this relationship in its communications and internal risk assessments. Describing a Treet style partnership as CATL entering Pakistan could be misleading. The counterparty is a separate CATL backed company operating under a memorandum, while CATL itself remains at the stage of preliminary government discussions. This kind of mischaracterisation can erode credibility with sophisticated counterparties as soon as the underlying facts are examined.

5. Pakistan Against Its Regional Competitors

5.1 Bangladesh and the Discipline of a Sunset Clause

Bangladesh's approach, set out in its financial year 2026 to 2027 budget proposals, is built around a design principle Pakistan's framework has not matched in clarity, even though both countries are pursuing broadly similar goals. The core mechanic is a duty structure tiered explicitly by the degree of local value addition a manufacturer actually undertakes, rather than a flat concession available regardless of contribution. Manufacturers carrying out body fabrication, welding, painting and assembly of three and four wheeled electric vehicles with high local value addition receive exemption from

essentially all duties and taxes on imported materials and parts, retaining only a nominal 3% import duty. Manufacturers conducting lower value operations, essentially assembly and painting without fuller fabrication, face 15% on the same inputs.

That five fold differential between 3% and 15% creates a sharper and more legible incentive to move up the value chain than anything currently notified in Pakistan, where the completely knocked down tier system pushes in the same direction without as clean a binary. It is worth noting that Bangladesh achieves this within a single budget instrument, where Pakistan's equivalent is spread across an expired auto policy running on extension, an unfinished battery policy and a separate unfinished battery specific instrument.

On the consumer side, Bangladesh is cutting the total tax burden on imported electric vehicles priced up to USD 25,000 from 93% to 64%, with vehicles up to USD 50,000 facing 80%. The advance income tax on registration, previously a flat and often prohibitive BDT 200,000 regardless of specification, is being restructured to scale with battery capacity, falling to BDT 25,000 for 200 kilowatt vehicles and capped at BDT 75,000 for the largest category. Charging infrastructure receives dedicated treatment, with the previously applicable 39.75% duty and tax burden on imported chargers eliminated entirely, a more aggressive charging incentive than anything currently notified in Pakistan. Simultaneously the tax burden on petrol and diesel cars between 1,200cc and 1,600cc rises from 132% to 156%, pushing from both directions at once.

The feature that most clearly distinguishes the Bangladeshi design, and the one carrying the greatest instructive value, is the explicit sunset clause attaching to concessions on the most strategically significant components. Concessionary duty facilities for lithium ion battery manufacturing, sodium ion production and pack assembly have been extended only through financial year 2029 to 2030, while concessions specifically covering battery components and mounting brackets run only to June 2028. This is deliberate because it gives established players a bounded window to establish functional cell and pack production before importing the same components becomes substantially more expensive. The structure is considerably clearer than an open ended assembly subsidy, and it stands in marked contrast to developing country incentive schemes that have remained in force for decades beyond the point at which they served their original purpose.

It would nonetheless be a mistake to read this more codified structure as evidence that the underlying market is ahead of Pakistan. Bangladesh Road Transport Authority figures record only 669 electric vehicles formally registered nationally as of mid May 2026, with formal registration having begun only in September 2022. That is a smaller base than Pakistan's, and it means Bangladesh's well designed architecture is a bet on future growth rather than a reflection of a thriving present. Some Bangladeshi business leaders have themselves warned that the incentive structure may inadvertently favour imports over domestic manufacturing in early implementation, which echoes precisely the assembly against manufacturing distinction this report applies to Pakistan and confirms that a better designed policy on paper does not automatically produce a better outcome in practice.

For a Chinese investor weighing the two, the honest comparison is between a market with a smaller current base but a more legally certain and explicitly tiered structure with a defined sunset, and a market with a comparably small base but a considerably larger population, a longer established assembly tradition through decades of Japanese manufacturer operations, and a framework that remains substantially less codified. Neither offers a mature ecosystem. The choice comes down to which risk an investor is better positioned to manage: policy uncertainty in Pakistan or a genuinely thin current market in Bangladesh, rather than any objective superiority of one over the other.

5.2 Vietnam and the Value of a Codified Framework

Vietnam belongs to a different category of comparison, not because its individual incentives are necessarily more generous, but because it enters with an established domestic manufacturing base and a legal architecture for foreign investment incentives comprehensively overhauled within the past year. The National Assembly passed an entirely new Corporate Income Tax Law on 14 June 2025, replacing the previous framework in full, effective from 1 October 2025 and applicable retroactively to the whole 2025 tax year. This is a complete legal overhaul rather than incremental amendment, and its recency means an investor evaluating Vietnam today works from the current architecture rather than an older framework layered with successive patches.

The regime follows a familiar tax holiday structure applied through more tightly defined criteria than before. Qualifying projects, including high technology application, strategic technology and supporting industry

categories that a genuine cell manufacturing or advanced material processing facility would plausibly meet, may receive a full corporate income tax exemption following the first profitable year of activity, followed by a period at half the standard rate, with the duration varying by category and location. Under the predecessor framework, comparable supporting industry projects received a 10% preferential rate for 15 years combined with 4 years full exemption and 9 further years at 5%, which gives a sense of the order of magnitude involved.

A significant structural change removes what had been an easy qualifying route. Locating within an ordinary industrial zone no longer qualifies a project for incentives on its own. Projects must now qualify through genuine sector criteria demonstrating high technology, digital or green characteristics, or through geographic criteria specific to special economic zones. Projects licensed before the new law may continue under previous terms until expiry. This tightening reflects Vietnam's own assessment that blanket industrial zone incentives had become insufficiently targeted, and it is worth noting as evidence of a state actively refining its incentive architecture rather than simply accumulating concessions.

Beyond corporate tax, Vietnam layers additional measures the South Asian markets do not match in combination. Decree 202 of 2026 extends full exemption from the registration fee for battery electric vehicles through 31 December 2030, framed explicitly by Vietnamese officials as providing the policy certainty manufacturers require when committing capital on the 5-10 year horizons typical of automotive decisions, which is precisely what this report has identified as missing in Pakistan. Businesses may allocate up to 20% of annual pre tax profit into a tax deductible research and development fund, with qualifying expenditure deductible at up to 200% of actual cost under a more recent decree, a genuinely generous innovation incentive exceeding anything on offer in either South Asian market.

One complication a sophisticated investor must weigh has no equivalent in the Pakistani or Bangladeshi context. Vietnam has implemented the global minimum tax framework through a domestic decree effective from mid October 2025 with retroactive application to financial year 2024, applying to multinational groups with consolidated global revenue of at least €750 million in two of the preceding four years. Both CATL and BYD comfortably clear that threshold. For groups of that scale, the 15% effective minimum enforced at consolidated level can claw back much of the benefit of a zero or low preferential rate applied at the Vietnamese subsidiary level. This is

technical but material, and it means Vietnam's headline incentive package is worth considerably less to exactly the largest Chinese battery manufacturers most likely to be considering an investment than it is to smaller investors falling below the threshold.

That asymmetry is worth stating plainly because it partially closes a gap that headline comparison would suggest is unbridgeable. If Vietnam's principal advantage over Pakistan were purely the generosity of its tax holidays, the comparison would be straightforward. Because a substantial portion of that generosity is neutralised by the global minimum tax for the specific investors most relevant to this sector, Vietnam's real remaining advantages are its existing ecosystem, its infrastructure and its policy predictability, rather than its net fiscal offer. Those are real advantages, but they are a narrower set than the raw incentive comparison implies.

5.3 What the Comparison Actually Resolves

Taken together, the choice facing an investor is not a ranking exercise yielding a single winner but a genuine trade-off between differing combinations of certainty, maturity and unrealised upside. Figure 15 sets out this report's assessment across six dimensions.

Figure 15. Three markets competing for the same Chinese capital

Analytical scorecard, not an official ranking. Scores reflect this report's assessment of the evidence reviewed.

Vietnam leads on almost every dimension except the one that matters most to an early mover: unrealised upside.

Vietnam offers the most legally certain framework, backed by a functioning domestic manufacturing base and a freshly overhauled tax law, but bundled with a more crowded competitive landscape, higher operating costs than either South Asian alternative, and for the largest investors the global minimum tax offset just discussed. Bangladesh offers the most cleverly tiered incentive design of the three, with a defined transition timeline forcing genuine localisation on a schedule rather than allowing indefinite import dependent assembly, but sitting on a market so early stage that any case must rest almost entirely on projection.

Pakistan offers the largest underpenetrated addressable market in raw population terms, a growing base of confirmed Chinese commercial engagement, and demand side fundamentals that are arguably better documented than either alternative, specifically the running cost arithmetic in section 2 and the storage import trajectory in section 3. What it does not offer is comparable policy certainty. The battery manufacturing policy remains under discussion in the cabinet. The battery specific instrument remains unfinished. The successor auto policy remains at steering committee

consensus stage. An investor placing high value on regulatory predictability, with flexibility to deploy elsewhere, would reasonably weight that heavily and might conclude the uncertainty is inadequately compensated.

This report does not contend that Pakistan should simply be discounted. An investor prioritising early mover positioning and prepared to accept policy risk in exchange for a foothold in the least contested of the three markets has sound grounds for treating the gap between ambition and notified law as the opportunity rather than solely as the risk. Only one major Chinese manufacturer has established genuine assembly scale in Pakistan to date. CATL remains at discussion stage. The competitive field is materially thinner than in either alternative market, and it will not remain so once the policy framework settles.

The structure that reconciles these positions is the one recommended throughout this report: commitments should be made against notified rather than proposed policy; measurable technical milestones should be required; renegotiation triggers should be built into terms signed ahead of official policy notification and enforcement; tariff based incentives should be preferred over disbursement based ones given the delivery record; and the licensing precedent should be followed rather than the equity precedent where market access rather than deep capability is the objective. None of these measures eliminates Pakistani policy risk, and nothing available to a foreign investor could eliminate it entirely. What they do is convert an unhedged bet on a pitchbook into a staged position where each increment of capital is matched to an increment of legal certainty that has actually arrived, which is the most any investor can reasonably ask of a market at this stage of development.

6. What to Watch, and What It Adds Up To

6.1 The Triggers That Will Resolve the Open Questions

Because so much of this report turns on the distinction between notified and proposed, the most useful practical contribution it can make beyond analysis at a single point in time is specifying exactly what would resolve each open question. Several of these open questions have defined triggers rather than remaining permanently uncertain.

Figure 16. The five triggers worth watching

Four of the five decisive events remain pending. The first is scheduled and will arrive before the rest.

Gazetting of the National Lithium Ion Battery Manufacturing Policy, converting the 70-80% targets and the 0% cell duty from pitchbook figures into enforceable law, is the single most consequential trigger for the battery investment case. Its timing determines when a staged approach can move from its initial notified tranche into the cell and material processing stages that depend on the finalised schedule. Publication of the finalised battery testing and certification standards is closely related, since these determine the capital expenditure and qualification timeline any manufacturer must budget for, and their absence means even a manufacturer ready to invest cannot yet plan against a known compliance target.

On the vehicle side, formal notification of the successor auto policy, converting the 80% and 55% value addition proposals from steering committee consensus into gazetted law, is the equivalent trigger. The percentages that survive that process, and whether the reduction of the import tariff premium to zero by financial year 2030 survives intact, will materially affect the economics of every assembly venture currently operating.

Beyond these, the most useful real time indicator of whether localisation is actually occurring rather than merely being promised would be Pakistani customs import data broken down by battery component category, distinguishing among cells, modules, finished packs, cathode materials and anode materials. This granularity does not currently exist in published trade statistics. Establishing such granularity, whether through direct engagement with the Federal Board of Revenue or through modelling from shipment level trade data, would do more than any other single effort to separate genuine progress from assembly plants presented as manufacturing units.

Two further triggers provide the clearest concrete test of the distinction running through this report. The first is the actual local content composition of vehicles from the Gharo line once commercial production begins, which offers the first real world test of whether Pakistan's most advanced Chinese linked project is a step toward manufacturing or remains assembly in substance regardless of description. The second is whether the Treet relationship progresses beyond memorandum into a definitive agreement covering actual local assembly or value addition, which would be the first concrete test of whether CATL linked technology is moving toward industrialisation or remaining exploratory. Secondary city and corridor charging deployment outside the three major cities is worth tracking as an independent indicator of whether the market is broadening geographically or remaining concentrated in a narrow urban band.

6.2 The Assessment

Considering in turn the policy architecture, the market data, the supply chain, the mineral endowment, the named tracker and the regional comparison, the conclusion this report reaches is that the demand conditions for a Pakistani battery and electric vehicle industry are real, and that on the evidence assembled they are stronger than the level of international attention this market attracts. The increase in storage imports of over 200% year on year in 2025, the verified running cost advantage of roughly 83% against petrol on published tariffs, the country's dependence on fuel imports, its notified vehicle policy funded by a dedicated levy rather than an annual budget fight, and credible named Chinese engagement spanning assembly, battery memoranda and government to government discussion all point in the same direction.

What is not there is the industrial depth to convert that demand into a domestic manufacturing base, and it will not arrive quickly regardless of how the pending policies are finalised, given the multi year timelines that cell manufacturing, battery grade mineral processing and genuine technology transfer have required in every comparable market examined here. Pakistan has no cell manufacturing. Its mineral endowment is geologically real but metallurgically unproven. Its charging network is two orders of magnitude below its own stated target. Its most recent fully funded subsidy programme delivered 13% of its first phase target before being redesigned.

The most investable opportunities available to a Chinese partner today are consequently not the cell gigafactory propositions that occasionally circulate

in Pakistani coverage. They are the more modest and more immediately achievable layers: pack and module assembly, battery management system integration, thermal systems, testing and certification infrastructure, recycling, charging network development, and battery grade mineral processing specifically targeted at the iron and phosphate base that is geologically present though commercially unproven. Each of these has a real addressable market today, each is consistent with demonstrated Pakistani capability, and each positions an investor to move up the ladder as the policy framework settles rather than betting on a rung that does not yet exist.

Cell manufacturing remains the strategic prize that both Pakistani policymakers and the Chinese investors evaluating this market are, reasonably, aiming at. Reaching it will require policy certainty Pakistan has not yet delivered, quality standards it has not yet finalised, a reliable power supply, committed technical partners beyond the memoranda currently in place, and upstream processing capability it has not yet built. That is a long list. It is not, however, an impossible one, and the direction of travel across every section of this report is toward those conditions rather than away from them. The question confronting an investor is not whether Pakistan will eventually arrive at that position. It is whether the option value of early placement, in the least contested of three competing markets, adequately compensates for underwriting a policy framework still in the course of being written. Reasonable investors will reach different answers, and this report has deliberately declined to assert a single correct one, since the available evidence does not support it.

Sources and Method

Every policy measure discussed in this report carries a stated legal standing, and three terms are used consistently. Notified means the measure has cleared cabinet or the legislature and is in force at the date of writing. In principle means a committee or steering group has agreed its shape but it has not been formally approved. Draft or pitchbook means the figure appears only in a promotional or consultative document and carries no legal force. Where the evidence does not establish which of the three applies, the report says so rather than inferring. The same discipline governs the distinction between assembly and manufacturing used throughout: a facility that imports finished cells and builds them into modules and packs is classified as assembly, and only a facility producing cells from active materials under local process control is classified as manufacturing.

This report draws on government and regulatory sources including the Ministry of Industries and Production, the Engineering Development Board, the Press Information Department, the National Electric Power Regulatory Authority and the Power Division, the Geological Survey of Pakistan, the Punjab Mines and Minerals Department, and the United States Geological Survey. Corporate and financial sources include Pakistan Credit Rating Agency rating reports on Hub Power Company, Hub Power Holdings and Mega Conglomerate, HUBCO corporate disclosures, and Pakistan Stock Exchange disclosures on the Treet Battery agreement. Market data derives from Pakistan Automotive Manufacturers Association monthly bulletins as reported by PakWheels and ProPakistani, and Arif Habib Limited monthly automotive tracking. Analytical and think tank sources include Renewables First, the Institute for Energy Economics and Financial Analysis, the Pakistan Institute of Development Economics, and the Sustainable Development Policy Institute. Regional comparison draws on the Bangladesh financial year 2026 to 2027 budget documentation and Bangladesh Investment Development Authority material, and on Vietnamese Corporate Income Tax Law 67 of 2025 together with implementing decrees. Press coverage from Dawn, Business Recorder, the Express Tribune, Nikkei Asia, Arab News, the Daily Star, the Financial Express and Prothom Alo has been used where primary documentation was unavailable.

Figures marked as analytical scoring represent this report's assessment of the reviewed evidence rather than measured production shares or official rankings, and are identified as such in their captions. Where sources conflict, the conflict is reported rather than resolved silently. Where a figure could not

be verified against a primary or credible secondary source, it has been excluded rather than reproduced with a qualifier.

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Reza Khan is a researcher with an M.Phil. in Government and Public Policy from the National Defence University, Islamabad, and an MBA in Finance. His professional background spans business strategy, international trade, economics and organizational leadership. His research focuses on public policy, governance, strategic communication, and the relationship between technology, institutions and society.